



Vancouver School of Economics
Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

Prepared by: Sebastian, Research Analyst

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Hello!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

Markets remain volatile amid signs of a cooling labor market, while inflationary pressures are expected to rise following Trump's recent trade policies. The U.S. stock market has jumped approximately 13% in the last 3 months, and some analysts anticipate a potential pullback from these record-high valuations.



Article 1: Trump's Interest Rate Obstacle Is Bigger Than Powell

Author, Source & Date Published: Jamie Rush, Tom Orlik, and Stephanie Flanders, Bloomberg, August 3, 2025

Link: [Reference](#)

Summary:

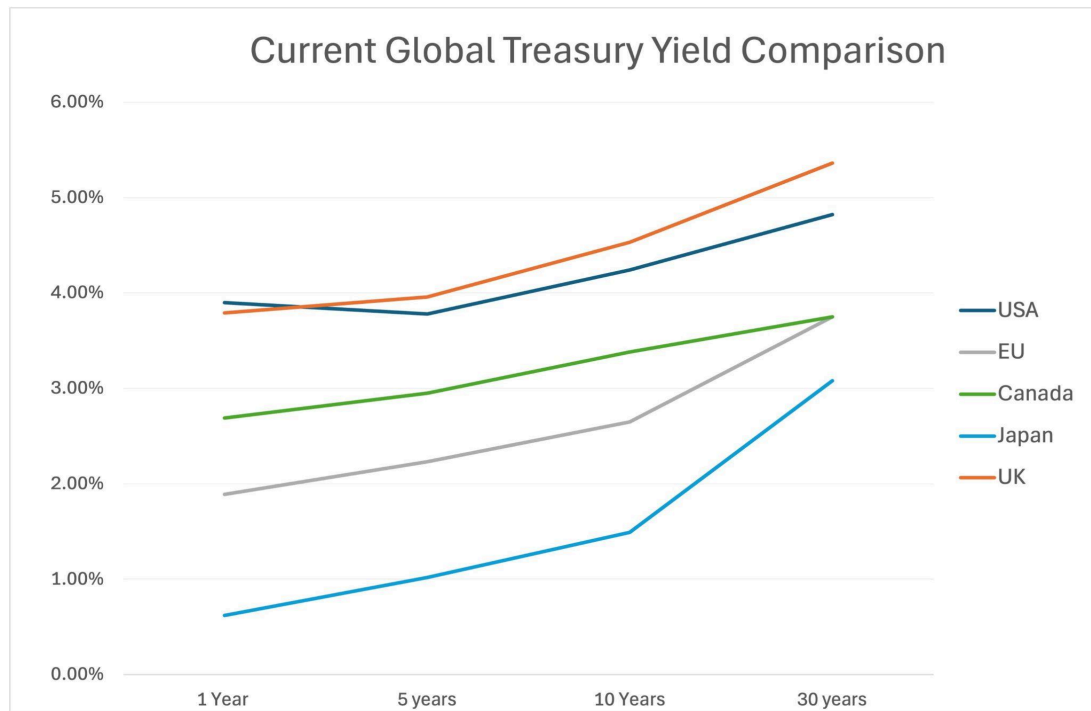
Trump's goal of lowering interest rates depends on more than just Powell's decisions. There are structural forces currently pushing interest rates higher as the global landscape shifts.

Key Takeaways:

- Governments are running massive fiscal deficits, increasing demand for capital, which **drives up the cost of borrowing** (also known as the cost of capital).
- There are fears that the Fed could become submissive to the executive branch, potentially triggering an inflationary spiral. Inflation could erode the returns on bonds that don't offer protection against price increases. This would be detrimental to financial markets, as lenders may begin demanding a risk premium if they perceive that inflation is no longer being independently controlled by the Fed.
- In the previous decades, the U.S. cost of capital fell, allowing the government to accumulate debt at low rates. Additionally, China and oil-exporting countries reinvested their export earnings into U.S. treasuries, increasing the money supply. They viewed treasuries as safe assets due to Fed independence, while also keeping their currencies undervalued to support exports.
- Today, the neutral interest rate appears to be rising. The Baby Boomer generation is retiring and spending their pensions instead of saving, reducing capital supply. Meanwhile, China and petrostates are redirecting funds toward domestic projects, and global militarization is pushing governments to borrow more to upgrade their arsenals. Collectively, these trends are increasing demand for funds and reducing its supply.



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FactSet, *Government Yields*. Accessed via FactSet Workstation on August 6, 2025.
<https://my.apps.factset.com/workstation/navigator/markets/government-yields>.

Educational Angle:

Students should understand that the cost of capital is shaped not just by the Federal Reserve's overnight policy rate decision but also by broader market forces that affect the supply and demand for capital. Like any other goods, when money is scarce, its price (interest rate) rises, when abundant, its price falls. The Fed's role is to manage the business cycle through short-term interest rates, but it cannot independently and directly set long-term rates.



Article 2: Palantir Jumps After Reporting Record Quarterly Sales Growth

Author, Source & Date Published: Lizette Chapman, Bloomberg, August 4, 2025

Link: [Reference](#)

Summary:

Palantir's second-quarter sales rose by 48%, surpassing analyst expectations. Management attributed the growth to recent advances in AI.

Key Takeaways:

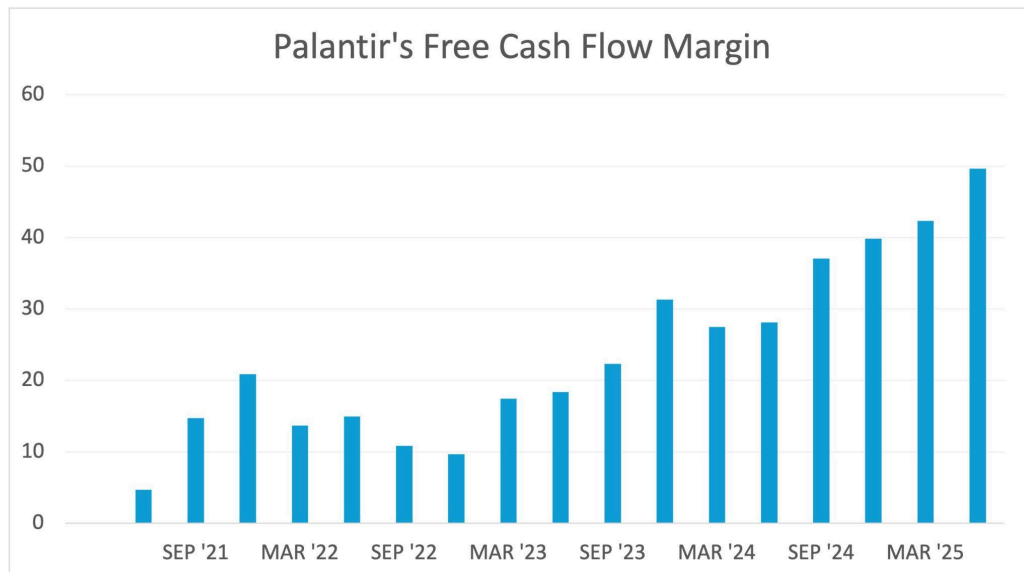
- Palantir (PLTR) is a software company that enables organizations to manage data and operations through advanced analytics. It was founded after 9/11 to support anti-terrorism efforts. Palantir's revenues are heavily dependent on U.S. defense contracts. The company sells high-cost software solutions tailored to large institutions. Its products are extremely sticky¹ once implemented, they are difficult to replace due to significant upfront integration costs.
- Palantir is currently the most expensive stock in the S&P 500. With a P/E ratio ² of 577.57, investors are paying \$577 for every \$1 in net income. Conventional valuation guidelines recommend investing in companies with P/E ratios below 20. It is essential to assess a company's financial fundamentals relative to its price. Even if a company is profitable, buying at an overvalued price can make it a poor investment.
- Palantir's ability to generate Free Cash Flow (FCF) is outstanding for an emerging software company. Its FCF margin is around 50%, meaning it can generate cash and operate its business without relying on external financing. Additionally, free cash flow is at the core of business profitability, as it represents the cash available to pay dividends, reduce long-term debt, or reinvest in the company.

¹ Sticky: It slowly adjusts to changes in economic conditions, particularly in the short-term.

² P/E: (Price)/(Earnings per Share).



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Source: FactSet, *Company Financial Ratios - Palantir Technologies Inc. (PLTR)*.

Accessed via FactSet Workstation on August 6, 2025,

<https://my.apps.factset.com/workstation/navigator/company-security/ratios/FIG-US>

- Palantir recently secured contracts with the U.S. Space Force and the U.S. Army. Investors appear willing to pay a premium for a company that counts the federal government as a client.

Educational Angle:

Students should recognize that Palantir's valuation is highly inflated and should approach it with caution. Allocating a large portion of a portfolio to a stock with weak fundamentals, even if its price has recently soared, is not advisable. Diversification remains one of the most powerful tools for rational investors. Before making any investment decision, it's essential to perform a comprehensive analysis of the company's financials, business risks, future outlook, and valuation.



Article 3: A Weak Jobs Report and Revised Tariff Plans Send Markets Reeling

Author, Source & Date Published: Roshan Fernandez & Sam Goldfarb, WSJ, August 1, 2025

Link: [Reference](#)

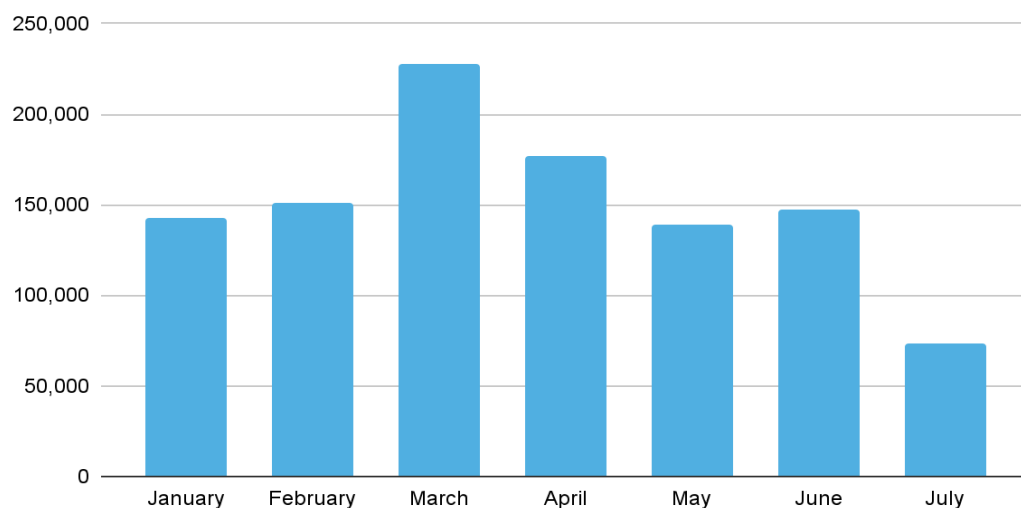
Summary:

U.S. job data weakened for the fourth consecutive month, keeping investors on edge. In addition, Trump's new trade policies are dragging markets lower.

Key Takeaways:

- The U.S. Bureau of Labor Statistics (BLS) is responsible for monitoring employment and inflation at the federal level. One of the most closely watched indicators by markets is Total Nonfarm Payroll Employment, which tracks job creation excluding the agricultural sector. In July, the BLS reported that only 73,000 jobs were created, pointing to slower growth in the labor market. In addition, previous months' numbers were revised downward, suggesting job growth may have been even weaker than initially reported.

Initially Reported Monthly Total Nonfarm Payroll Employment



Source: U.S. Bureau of Labor Statistics, *Total Nonfarm Employment*, retrieved from <https://www.bls.gov/ces> on August 7, 2025.



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- Markets were further declined when Trump fired the Commissioner of the BLS. Investors are concerned that he may attempt to appoint a loyalist, potentially compromising the credibility of key U.S. economic data. This matters because BLS statistics feed directly into financial markets. For example, Treasury Inflation-Protected Securities (TIPS) adjust their returns based on BLS inflation data. If that data were manipulated, it could trigger a bond market crisis, as investors would rush to sell bonds they no longer trust. However, it is important to notice, that the BLS Commissioner is appointed by the Secretary of Labor and not the president itself.
- Simultaneously, markets declined on news of upcoming tariffs scheduled to take effect on August 7. Switzerland (39%), Brazil (50%), and India (50%) are among the countries most affected. The tariffs on Brazil and India appear to be politically motivated, for Bolsonaro's political "percussion" and India's purchase of discounted Russian oil.

Educational Angle:

Students should understand that when investors anticipate a drop in interest rates, they tend to rush into existing bonds that offer higher yields rather than newly issued ones. This surge in demand pushes the prices of existing bonds up, which in turn lowers their yield. The same dynamic applies to long-term bonds. This mechanism explains why expectations of lower short-term interest rates can influence yields across longer maturities.
